

Prioritize Projects Strategically or Suffer the Consequences

Many IS/AD organizations attempt to treat every project as a high priority. In a blizzard of e-business projects, adhering to a process will help organizations to be more efficient and more effective.

Core Topics

Applications Development: Applications Development Project Management

IT Management: Project and Process Management

Key Issues

What project management best practices will assist AD organizations in maximizing return on investment for their AD projects while reducing the potential for cost overruns, late delivery and scope creep?

What project and process management practices and procedures will improve project success?

Strategic Planning Assumption

By 2003, IS/AD organizations that implement a strategic project prioritization process will more effectively address business needs and reduce failed projects by 25 percent (0.7 probability).

A truism most often honored is that "Project priority should be established based on business value." Such value can be expressed in various ways such as revenue increase (e.g., from new e-business opportunities), expense reduction (e.g., from streamlining business process via e-commerce), increased customer satisfaction (or retention), return on assets and market share. Unfortunately, because perceived project value differs among business units (BU) where projects are proposed, and vs. where they are staffed and managed, conflict is inherent in prioritization, especially in shared-service environments (see *Research Note* TU-09-9047: "Minimizing IT Investment Risk Upfront"). Internecine political struggle and favoritism are the "default" methods of resolving such priority conflicts. Yet these methods seldom stress the business value of projects to the enterprise, which costs energy and time, damages morale and yields enterprise vendettas.

To prioritize projects by comparing costs, benefits and risks in a consistent way requires a framework for decision making, with clear criteria defined by an upper management group and executed by a project review group that can be used for large projects, as well as for small-to-midsize projects (12 to 15 people, three to six months' duration).

If IS projects are competing within a BU for priority and budget dollars, then BU management can define the criteria. However, if the BUs' projects rely substantially on the central IS staff, then the next-level management group would likely include more senior business executives and the CIO. With prioritization criteria (and their relative weights) established, BU managers' political clout ceases to be the main prioritization principle, although realistically it will remain a factor.

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Applying an IT-value framework is an effective way to prioritize such actions. This framework includes the following steps:

Note 1

CBA

Business benefits are typically defined in terms of revenue increase, expense reduction, alignment with strategy, increased customer satisfaction (or retention) and market share. Obtain agreement on assumptions (e.g., how to calculate savings for outsourcing; applicable burden rates to various employee classes; the expected savings from applying technology to business processes; and quantification of employee productivity and effectiveness).

Note 2

The Need for Explicit Criteria

Market share, for example, is an evaluator that should be considered by a company taking on a strategic project such as e-business transformation. Revenue, on the other hand, would be an evaluator better suited to a project in a more mature business.

- *Gather information.* Tools such as a cost benefit analysis (CBA; see Note 1) that defines project value in business terms should be used for comparing projects' priority. Delineating risks as inhibitors to proceeding with the project is important to the information-gathering stage. Risks include business risk, resource risk and technical risk (see Research Note SPA-04-8384: "AD Project Risk: Get a Grip").
- *Apply weighted criteria.* Define specific weights for specific benefits, costs and risks (see Note 2). Weights of criteria will change from year to year as business goals shift. Management above the resource-competition level must create a "scorecard" comparison of decision criteria, so that project priority will derive from a consistent formula understood by all involved. After the results of the scoring are known, competing project sponsors will have a clear understanding of why projects have been approved, denied, delayed, partially funded or canceled.
- *Compare the project with others competing for resources.* Prioritizing projects that are competing for the same resources is necessary in today's quickly changing IT world. Adding new "top priority" projects that draw resources away and force re-prioritization of projects in flight often causes projects that have been put "on hold" to fail.
- *Schedule the project.* Schedules are subject to the availability of key resources; too often projects are launched prematurely — either removing resources from projects in process (and increasing the risk of failure) or holding back other valuable projects. Consequently, more enterprises are turning to contracting or outsourcing to augment or gain key resources for timely initiation of important projects.
- *Continuously validate the portfolio.* Continuously evaluating projects against one another and against such business goals as strategic e-business transformation is imperative. Many projects are clearly identifiable as losers well before cancellation or before they consume resources to a degree well beyond their likely return.

Bottom Line: For the IS group to best serve the enterprise — rather than be blown about on the winds of the struggle for resources among BUs — it must implement a consistent project prioritization process oriented around the business's strategic goals (and tactical imperatives). In today's frenetic e-business environment, many inconsequential projects will be favored over potentially valuable ones due to the lack of clear prioritization criteria established at the right management level.

